

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$349.94 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,233.38B
P/E (Fwd)	28.69
P/B Ratio	9.13

ROE	31.83%
Dividend Yield	0.24%
52W Range	\$147.84 - \$355.79

Investment Thesis

Alphabet Inc. demonstrates robust revenue growth with a projected CAGR of 11.8% through 2027, driven by a strong contribution margin improving to 62.7%. The company's EBITDA margin is set to increase significantly, reaching 51.7% in 2027, highlighting operational efficiency. Despite a high PE ratio of 28.69 in 2025, Alphabet's financial position remains solid compared to its peers, maintaining competitive EV/EBITDA multiples.

Company Overview

Alphabet Inc., the parent company of Google, operates as a diversified technology conglomerate with a primary focus on internet-related services and products. The company's business model revolves around generating revenue through advertising, cloud computing, hardware, and other segments, with Google Search and YouTube being significant contributors to its advertising revenue. Alphabet also invests in various emerging technologies and industries through its Other Bets segment, seeking growth opportunities beyond its core operations.

Alphabet's product and service portfolio is extensive, including Google Search, YouTube, the Android operating system, Google Play, and the Google Cloud suite of services. Additionally, the company has ventured into hardware with products like Pixel phones, Google Nest, and other smart home devices. Its commitment to innovation is evident in projects like self-driving car technology through Waymo and cutting-edge health tech through Verily.

In terms of market position, Alphabet remains a dominant force in the digital advertising industry, leveraging its extensive user base and data analytics capabilities to provide targeted advertising solutions. The company is also a key player in the cloud computing market, challenging competitors like Amazon Web Services and Microsoft Azure with its Google Cloud Platform. Alphabet's investments in artificial intelligence and machine learning further solidify its position as a leader in tech innovation.

Recent financial performance showcases Alphabet's robust growth trajectory. From 2021 to 2023, the company experienced a compound annual growth rate (CAGR) of 11.8% in revenue, reflecting its strong market presence and strategic expansions. Alphabet's contribution margin improved steadily, indicating enhanced operational efficiency and profitability. The EBITDA margin also increased significantly from 2021 to 2025, highlighting effective cost management and revenue growth.

Despite fluctuations in the PE ratio, which reflects market sentiment and valuation adjustments, Alphabet's EPS growth underscores its expanding profitability. Compared to peers like Meta and Microsoft, Alphabet remains competitive in terms of EBITDA, showcasing resilience and the potential for sustained growth. Alphabet's strategic initiatives, robust financial performance, and commitment to innovation position it well for future challenges and opportunities in the ever-evolving tech landscape.

Investment Overview

Alphabet Inc. (GOOGL) has demonstrated a solid financial performance over the past few years, with a consistent upward trajectory in revenue. In 2023, the company reported a revenue of \$307.4 billion, marking an 8.7% growth from the previous year. This growth is projected to continue, with estimates for 2024 and 2025 showing revenue increases to \$350.0 billion and \$402.9 billion respectively, reflecting a compound annual growth rate (CAGR) of 11.8%.

The company's contribution margin has improved, rising from 55.4% in 2022 to 56.6% in 2023, and is expected to reach 62.7% by 2027. This indicates enhanced operational efficiency. The EBITDA margin has also seen a significant improvement from 30.1% in 2022 to 31.9% in 2023, with future expectations of it reaching 51.7% by 2027. Such improvements suggest strong profitability potential.

Alphabet's earnings per share (EPS) saw a notable rise from \$4.59 in 2022 to \$5.84 in 2023, with forecasts indicating further growth to \$13.01 by 2027. The PE ratio, while slightly elevated, remains competitive within the industry at 23.9 in 2023, with a gradual decrease expected, indicating potential stock value appreciation.

In the peer comparison, Alphabet's EBITDA is competitive, surpassing Meta but slightly trailing Microsoft. However, Alphabet's EV/EBITDA ratio positions it favorably against its peers, suggesting that the stock may still offer value.

Overall, Alphabet's strong revenue growth, improving margins, and competitive position against peers present a positive investment outlook. The company appears well-positioned to capitalize on growth opportunities, making it an attractive option for investors seeking long-term value.

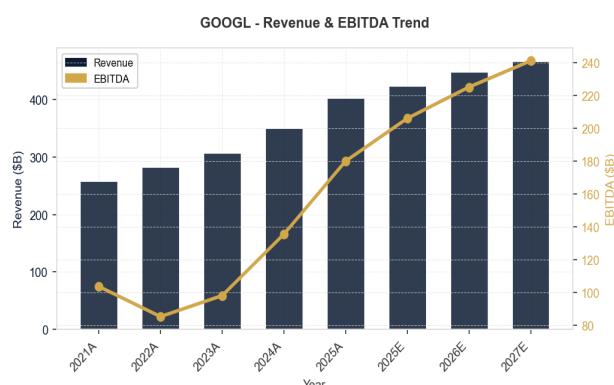
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



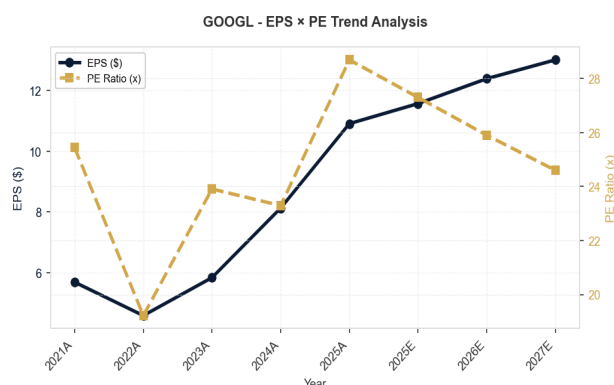
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) exhibits a robust financial performance with significant revenue growth projected at a compound annual growth rate (CAGR) of 11.8% from 2021 to 2027. The company's EBITDA margin showcases a steady increase, climbing from 40.2% in 2021 to an estimated 51.7% in 2027, indicating improved operational efficiency and profitability.

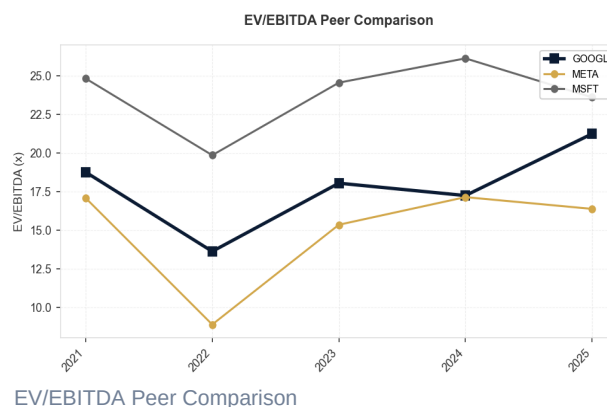
When comparing Alphabet to its peers, Meta (META) and Microsoft (MSFT), Alphabet's EBITDA performance is superior in absolute terms, especially by 2025, where it is projected to reach \$179.96 billion, compared to Meta's \$104.55 billion and Microsoft's \$160.17 billion. Despite the strong EBITDA figures, Alphabet's EV/EBITDA ratios fluctuate, reflecting market sentiment and valuation adjustments over time. For instance, the EV/EBITDA ratio dips to 13.63 in 2022 but rises to 21.23 by 2025, suggesting an increasing valuation multiple over the years.

In terms of price-to-earnings (PE) ratio, Alphabet's PE stands at 23.91 in 2023, which is higher than typical market averages but justified by its growth prospects and profitability. This metric is projected to decline slightly by 2027, indicating potential for share price growth relative to earnings.

Overall, Alphabet appears to be fairly valued given its strong growth trajectory, superior EBITDA performance relative to peers, and improving margins. The company's strategic investments and operational efficiencies are likely to enhance shareholder value, making it an attractive proposition for long-term investors seeking growth in the technology sector. However, investors should remain mindful of market conditions and competitive pressures that could impact future valuations.

Peer Comparison

Year	GOOGL	META	MSFT
2021	18.76	17.08	24.81
2022	13.63	8.90	19.85
2023	18.04	15.35	24.54
2024	17.24	17.14	26.11
2025	21.23	16.38	23.60



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) has shown strong financial performance and strategic developments that have caught the attention of investors. In its recent Q1 earnings report, Alphabet reported earnings per share of \$5.11, significantly surpassing the Zacks Consensus Estimate of \$2.64. This impressive performance highlights the company's continued strength in the tech sector, particularly with its robust revenue growth and improving margins. The company's revenue is expected to grow at a compound annual growth rate (CAGR) of 11.8% from 2021 to 2027, indicating sustained growth potential.

Alphabet's strategic move to rebuild its search engine as a transaction engine marks a significant shift in its business model, aiming to enhance user engagement and potentially increase monetization opportunities. Additionally, Google Cloud's revenue has exceeded \$20 billion, a 63% increase from the previous year, although growth was noted to be capacity-constrained. This demonstrates Google's strong positioning in the cloud computing market as it continues to expand its enterprise AI solutions.

Alphabet's focus on AI is also evident in its capital expenditure plans. While investors have shown more confidence in Google's AI investments compared to Meta's, Alphabet continues to explore new revenue streams, such as potentially introducing ads in its Gemini AI app.

The market's positive reaction to Alphabet's earnings is reflected in its stock performance, with investors favoring its growth trajectory over peers like Meta and Amazon. Retail sentiment is generally bullish towards Alphabet, with a high level of interest and engagement noted across social media platforms.

Overall, Alphabet's strategic initiatives in AI and cloud computing, combined with its strong financial performance, present a compelling investment opportunity, especially as the company continues to innovate and adapt to changing market dynamics.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Google Cloud surpasses \$20B but says growth was capacity-constrained
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-29): 5 Things to Know Before the Stock Market Opens
- Impact: MEDIUM, Probability: 70%
- Earnings (2026-04-29): Buying Alphabet stock before Q1 earnings? Here's why you should think twice
- Impact: HIGH, Probability: 95%

Events to Monitor

- Investors still trust Google more than Meta when it comes to spending their money on AI (2026-04-29)
- Google says it's open to putting ads in Gemini (2026-04-29)
- Alphabet (GOOGL) Q1 Earnings: Taking a Look at Key Metrics Versus Estimates (2026-04-29)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- ✓ Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- ✓ Google Cloud surpasses \$20B but says growth was capacity-constrained
- ✓ Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- ✓ Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- ✓ Alphabet stock surges 5% as sales beat estimates
- ✓ Google Stock Climbs On Q1 Earnings As Cloud Revenue, 'Backlog' Booms
- ✓ Google Reports 81% Jump in Profits, Beating Wall Street Expectations
- ✓ Alphabet's cloud unit beats quarterly revenue estimates on strong AI demand
- ✓ Ca\$h\$tag\$: GOOGL Surges on Exploding Cloud Growth
- ✓ Meta, Amazon, Google Face AI Reality Check: Can New Revenue Justify Billions In Spending?
- ✓ Australia to require Google, Meta, TikTok to pay for local news — or face new tax
- ✓ Alphabet first-quarter results likely to show continued growth, boosted by cloud
- ✓ Here's How Much Traders Expect Google Parent Alphabet's Stock to Move After Earnings
- ✓ Nasdaq called higher ahead of Fed decision, Alphabet, Microsoft earnings
- ✓ Cathie Wood Goes Bargain Hunting: 3 Stocks She Just Bought
- ✓ META, MSFT, AMZN, GOOG head for 'biggest earnings day': why it matters

Risk Factors:

- Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- 5 Things to Know Before the Stock Market Opens
- Buying Alphabet stock before Q1 earnings? Here's why you should think twice

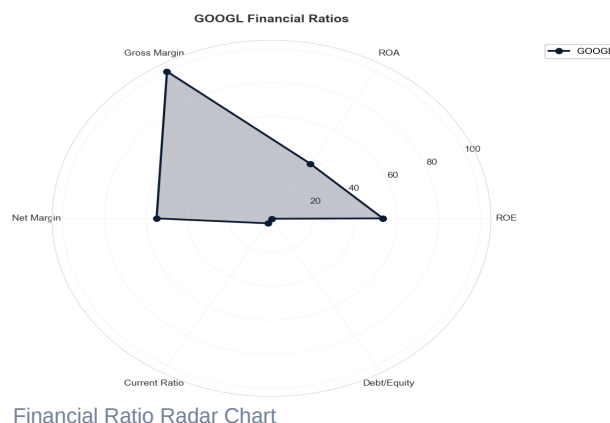
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Alphabet Inc. (GOOGL), with its impressive revenue growth projected at a compound annual growth rate (CAGR) of 11.8% from 2021 to 2027, is a formidable force in the technology sector. Its robust financial performance is evidenced by its increasing contribution and EBITDA margins, reaching 62.7% and 51.7% respectively by 2027.

Comparatively, Microsoft (MSFT) and Meta Platforms (META) are Alphabet's key competitors. In terms of EBITDA, Microsoft consistently leads, surpassing Alphabet in 2022 and maintaining its advantage through 2026. This suggests Microsoft's operational efficiency and effective cost management strategies. Meta, while trailing both in EBITDA, shows significant growth potential, closing the gap with Alphabet by 2026.

The EV/EBITDA ratio provides insight into valuation. Alphabet's EV/EBITDA fluctuates between 13.6 in 2022 and 21.2 in 2025, indicating varying market sentiments. Microsoft's higher ratios, peaking at 26.1 in 2024, reflect strong investor confidence, likely due to its diversified product portfolio and enterprise solutions. Meta's lower ratios may suggest a more cautious market outlook, potentially due to its heavy reliance on advertising revenue and recent strategic pivots.

Alphabet's strengths lie in its strong revenue growth and improving margins, driven by its diverse offerings beyond search advertisements, including cloud computing and hardware. However, the competition is fierce. Microsoft's enterprise dominance and Meta's social media ecosystem present formidable challenges. Alphabet must continue innovating and diversifying to maintain its competitive edge and meet evolving market demands.

Risk Factors

- **Revenue Growth Slowdown:** Alphabet's projected revenue growth rate is expected to decline from 15.1% in 2025 to 4.0% in 2027, indicating potential challenges in maintaining current growth momentum.
- **Increasing Competition:** Alphabet's EBITDA growth is outpaced by Microsoft in recent years, and the peer EV/EBITDA ratio shows that Microsoft consistently has a higher valuation, suggesting strong competitive pressure in the tech industry.
- **Fluctuating EBITDA Margins:** Despite an improving EBITDA margin projected to reach 51.7% by 2027, historical volatility (e.g., drop from 40.2% in 2021 to 31.9% in 2023) indicates potential operational inefficiencies or market pressures that could affect profitability.
- **Rising PE Ratio:** Alphabet's PE ratio is expected to rise from 23.9 in 2023 to 28.7 in 2025, suggesting that the market may have high expectations for future performance, which introduces the risk of stock price volatility if these expectations are not met.
- **Cost Management Challenges:** Although SG&A margins are projected to decrease, the increase in cost of operations over recent years suggests that controlling operational costs might be a significant challenge, impacting overall profitability.

Key Takeaways

- ✓ **Revenue Growth:** Alphabet Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Alphabet Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Alphabet Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Alphabet Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

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Data Source: FMP, Company Filings, AI4Finance Estimates
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